

Finance Department Guidelines

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Purpose

These guidelines establish the Finance department's working conventions for expense claims, purchase orders, month-end close activities, journal entries, approvals, and audit-trail records. They are intended to provide a consistent process for documenting financial transactions and maintaining supporting evidence.

The requirements apply to Finance employees and to employees or department representatives who submit expenses, request purchases, provide supporting documents, or participate in approval activities involving Finance.

Finance records must be supported by appropriate documentation and approvals. Employees should provide complete information when submitting a financial request so that the Finance team can review the transaction without unnecessary clarification or delay.

Effective from the first working day of the current calendar year. Reviewed annually by the document owner and revised as necessary. Version 1.0.

1. Expense Claims

Every expense claim requires the original receipt, the department head's approval, and a purpose narrative. The receipt provides evidence of the amount and transaction, while the purpose narrative explains the business reason for the expense.

The claimant should ensure that the receipt is legible and corresponds to the amount being claimed. Where multiple expenses are submitted together, each expense should remain identifiable so that Finance can connect the supporting evidence with the claim.

The purpose narrative should state why the expense was incurred and how it relates to the employee's authorized work. Short or unclear descriptions that do not establish the business purpose may require clarification before the claim can be processed.

Department head approval must be obtained before the claim is treated as complete for Finance review. Employees should not assume that submission of a claim automatically constitutes approval.

Claims older than 60 days from the receipt date are rejected. Employees are therefore responsible for submitting eligible claims within the required period rather than waiting until several weeks have passed.

Finance may check the receipt date against the submission date when reviewing a claim. A claim that exceeds the 60-day limit is not treated as an ordinary claim requiring additional processing.

Cash advances are settled within 15 days of return from the trip. The employee receiving the advance is responsible for providing the required settlement information within that period.

The settlement should identify the expenses covered by the advance and include the supporting receipts required for the applicable expenses. Any remaining amount or required adjustment should be addressed through the Finance process rather than left unresolved.

1. Expense Claims — Review and Recordkeeping

Finance reviews expense claims for completeness before processing. The review includes the presence of the original receipt, department head approval, and purpose narrative, as well as compliance with the 60-day submission requirement.

Where information is missing, Finance may return the claim to the submitting employee or department for clarification or completion. Employees should respond using the requested documentation rather than creating a separate claim for the same expense.

A receipt should not be used to support unrelated expenses. Supporting documents must correspond to the transaction being claimed and should be retained according to the department's recordkeeping arrangements.

Employees should keep copies or accessible records of documents submitted when required by the Finance process. Finance records should remain organized so that an authorized reviewer can trace a processed claim back to its supporting evidence.

Cash advances should be reconciled against the actual expenses incurred during the relevant trip. The 15-day settlement period begins when the employee returns from the trip, and the settlement should not be unnecessarily delayed.

Repeated late submissions or incomplete claims should be brought to the attention of the responsible department or document owner where appropriate. The purpose of review is to maintain consistent financial records and ensure that required evidence is available.

2. Purchase Orders

Purchase orders provide a controlled record of purchases requested by departments. Employees requesting a purchase should provide sufficient information for the purchase to be identified, reviewed, and approved through the applicable authority level.

Purchase orders above PKR 50,000 require dual approval from the department head and the Finance Manager. Both approval levels are required for the purchase to meet the stated approval convention.

Purchases above PKR 500,000 also require Branch Manager approval and three competitive quotations. The quotation requirement provides documented evidence that alternative supplier prices were considered for purchases at this threshold.

For purchases exceeding PKR 500,000, the three competitive quotations should be retained with the purchase documentation so that the basis of the purchasing process can be reviewed later.

The approval threshold should be considered based on the value of the purchase before the request is finalized. Employees should not divide a purchase into smaller requests for the purpose of avoiding an applicable approval level.

The requesting department should provide Finance with accurate purchase information. Material changes to a purchase after approval should be communicated through the appropriate process rather than being treated as though the original approval automatically covers an unrelated change.

2. Purchase Orders — Approval and Documentation

Finance should be able to identify the requesting department, the requested purchase, the relevant amount, and the approvals associated with the purchase order. Supporting quotations should be retained where the PKR 500,000 threshold applies.

Department heads are responsible for reviewing purchases submitted by their departments before approval. The Finance Manager provides the additional approval required for purchases above PKR 50,000, while the Branch Manager approval is added for purchases above PKR 500,000.

Competitive quotations should be sufficiently clear to identify the supplier and quoted purchase information. If a quotation is unavailable or cannot be compared in the normal manner, the issue should be referred through the appropriate Finance and management process rather than silently omitted from the record.

Purchase records should be stored so that the approval history and supporting documents remain available for future review. Finance may use these records when responding to internal questions or audit requests.

Employees involved in purchasing should not treat verbal discussions as a replacement for the required documented approval. Where the guideline specifies an approval, the approval should be captured through the established company process.

3. Month-end Close

Books close by working day five of the following month. Finance employees should organize month-end activities so that required entries, reviews, and supporting records are completed within this closing period.

Month-end close activities should focus on ensuring that transactions requiring recording or adjustment are identified and processed through the ERP according to the Finance department's established workflow.

All journal entries are peer-reviewed and audit-trail-tagged in the ERP. Peer review provides a separate check of the entry before it is treated as part of the completed accounting record.

The audit-trail tag must be maintained in the ERP so that the journal entry can be connected with its review and supporting information. Employees should not remove or bypass required audit-trail information.

Adjusting entries require Finance Manager approval. An employee preparing an adjusting entry should ensure that the required approval is obtained through the appropriate process before the adjustment is finalized.

Month-end work should be coordinated among Finance team members so that pending journal entries, reviews, and approvals are visible before the closing deadline. Items requiring clarification should be escalated early rather than waiting until the final day of the close.

3. Month-end Close — Review and Audit Trail

Peer review of journal entries should be performed by an appropriate Finance team member other than the person responsible for preparing the entry, where the department's workflow permits. The reviewer should examine the entry and supporting information before completing the review.

The ERP audit trail is part of the financial record. Changes, approvals, and review information that the ERP records as part of the accounting workflow should be preserved and should not be bypassed through undocumented offline changes.

Adjusting entries should have a clear business or accounting reason and should be supported by the information available to the Finance team. Where additional evidence is required, the preparer should provide it before requesting final approval.

The working day five deadline should be treated as the target for completing the books for the preceding month. Finance employees should track open items during the close so that unresolved matters are identified and escalated.

Where an entry cannot be completed within the normal close process, the responsible Finance employee should communicate the issue to the appropriate Finance authority and follow the applicable instruction rather than creating an unsupported entry merely to meet the deadline.

After the close, Finance may review the completeness of journal-entry approvals, peer reviews, and audit-trail tags. Any missing documentation should be investigated and corrected through the appropriate controlled process.

Finance Records and Audit Support

Finance records should be maintained in a form that allows authorized reviewers to understand the transaction, approval, and supporting evidence. Expense claims, purchase orders, quotations, approvals, journal entries, and related ERP audit information form part of the department's documented financial workflow.

When an audit or internal review requests supporting evidence, Finance employees should provide the relevant records through the designated process. Records should not be altered merely to make them appear more complete after the fact.

If a record is found to be incomplete, the issue should be identified and resolved using available supporting evidence and the appropriate Finance approval process. The original record history should remain traceable.

Approval and Ownership

This document is owned by the Finance department and approved by the Branch Manager. Questions or clarifications should be directed to the document owner.

The document is reviewed annually by the document owner and revised as necessary. The applicable current version should be used for Finance activities covered by these guidelines.

Non-compliance is a disciplinary matter under the HR Policy Manual. Employees are expected to follow the stated approval, documentation, and financial recordkeeping requirements.